

WeBox CEO's Letter of Q1, 2026



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To Our Valued Shareholders and the WeBox Team,

Last year, I shared a simple but important message with the team: **We need drivers, not passengers, at WeBox.**

Today, I want to bring that message to life by sharing several real stories from our team—stories that reflect who we are, what we value, and how we win.

Result-Driven

Last Friday, I had lunch with Martin. During our conversation, he shared something that genuinely surprised me.

Martin told me that Anthony often says he doesn't want to waste a single minute when he's out doing field prospecting. His goal is always to move conversations forward and secure demos. Martin even said he wished he had "another Anthony" in San Francisco to help accelerate revenue growth.

What surprised me wasn't Anthony's performance—I already knew he was strong. What surprised me was hearing, for the first time, someone from the team explicitly articulate *"not wasting time"* as a core personal principle. I've repeated many times that we should never waste our own time or the company's time—but hearing it reflected back organically from the team mattered.

When I returned to the office and reviewed Anthony's OKRs over the past three quarters, one thing was clear: **he consistently exceeded expectations.**

Last December, we were struggling to close the Dyna Robotics deal. Without changes, the deal would have slipped into the new year. We reassigned the account to Anthony. The CEO of Dyna Robotics quickly developed strong trust in him and later told us directly that Anthony helped accelerate the deal by nearly one full month.

What makes this story more meaningful is that Anthony was *not* a typical "sales hire" on paper. When we hired him, he was nervous, introverted, lacked polished sales techniques, and wasn't naturally charismatic in communication. We genuinely worried whether he could survive at WeBox.

What we learned is this: **willpower and belief matter enormously.** When someone decides they want to succeed, they work harder, think deeper, solve problems proactively, and ultimately become a role model who pulls the entire team forward.

Because of Anthony, the San Carlos sales team went through a real transformation. While revenue had been growing before, we hit a plateau at around \$100,000 per week. Recently, we've broken through that ceiling again—more importantly, the team has gained confidence and experience working with enterprise customers.

Get the Job Done—Right Away

Last week, we interviewed a candidate and asked Lennox to join the interview. When the candidate asked her what her role at WeBox was, Lennox replied: *"I don't have a fixed role—I've done a bit of everything."*

I almost laughed—but it's true.

I intentionally encourage Lennox to participate across functions so she can learn more, grow faster, and take on bigger challenges. She is someone you can trust completely. She never hides in her comfort zone and never resists new responsibilities.

In Customer Success, Lennox understands the status of every major account in detail. Once, when I casually asked about SambaNova, she immediately told me their new office would be ready after the New Year and that we were preparing to sponsor a house-warming event for the decision-maker.

At WeBox, we often say:

- **Sales** is like dating—building attraction and momentum.
- **Customer Success** is like marriage—long-term trust and partnership.

Many times, not doing something won't immediately cause visible problems. But when you *do* invest in relationship maintenance, customers come to you first when challenges arise—instead of quietly walking away.

Today, Lennox continues to lead CS while also transitioning toward a Product Manager role. Every day, she actively tests new features, quickly feeds insights back to engineering and QA, and helps improve execution. Our logistics team often tells me that new product features have saved them significant operational effort.

That's why I keep telling our HR team: as we scale, **can we please find more Lennoxes?**

Reliability and Learning Speed

On my recent trip back to China, two names came up repeatedly: **Russel and Paul**.

I have a strong intuition: when someone's name keeps coming up organically, it's a clear signal worth paying attention to.

When I asked Russel why everyone considers him so reliable, his answer was simple: *"I don't want to just make it works, and I believe everything I do helps me learn something new."*

Paul is the person with the highest AI token consumption in the company. When I asked where he learned AI, he said: *"Everywhere—even TikTok. Interest is the strongest driver."*

After interviewing new technical candidates, HR often asks one ultimate internal question:

How does this person compare to Russel in reliability, and to Paul in AI capability?

That's the standard we aspire to.

Transparency

This trip also came with a difficult responsibility: accelerating WeBox's transition into an **AI-native organization**.

Compared to Silicon Valley tech companies, we are behind. We cannot operate like a pure software company—we must balance technology with real-world operations. Personally, I've hit capacity limits; I can't focus deeply on every department at once, so we rotate focus by quarter.

In the technology team, change became necessary. Luke is a highly dedicated and loyal leader, but as the team grew younger and AI advanced rapidly, gaps in management and AI execution began to show. Without adjustment, burnout was a real risk.

After multiple open and honest conversations, we decided to begin recruiting a director-level leader with deep AI "vibe coding" experience and prior startup background.

This was a painful decision. I revisited it multiple times—wondering whether to delay, questioning fairness, and reflecting on what this means for how we support loyal talent long-term.

Throughout the process, we communicated transparently. We discussed whether the change was good or bad for Luke, and good or bad for the company. We analyzed trade-offs openly.

Our conclusion: **great individuals must keep evolving, and great teams cannot stay closed systems**. According to the second law

of thermodynamics, entropy increases in closed systems. To reduce entropy, external energy is required.

Our Talent Philosophy

As WeBox grows, we want more drivers—not passengers. This year, our people strategy is clear:

- Pay **top-of-market compensation** to attract and retain top talent
- Eliminate traditional performance evaluations—we believe they waste time
- Focus on **OKRs, 360-degree feedback, and retention keep tests**
- Invest disproportionately in the **top 20%**, while ensuring fairness and transparency for our core contributors
- **We reject mediocrity**—retention alone is not our goal

Why People Stay

I see real growth, achievement, and joy across the company.

This weekend, while I was working late in the office, Weston stopped by to give me a small bag of candy. I asked why he came in. He said simply: *“I wanted to finish my work.”*

Yesterday, an investor visited our Sunnyvale hub for due diligence. Today I asked Weston what the investor asked him. His answer: *“Why WeBox.”*

His response: *“We have a unique marketplace selection, and we work as a team.”*

When I asked Chris why he’s still at WeBox, he said: *“I’m curious. I want to see how a startup grows from small to big—and keeps setting new goals.”*

Great people don’t need motivation. What they need is a **fair, transparent stage**—where they are paid well, can focus fully on growth, and achieve both company and personal goals.

Looking Ahead to 2026

Success always involves some luck. But our responsibility is to make sure that **when luck arrives, we’re ready to catch it**.

Our 2026 OKRs

1. Achieve consistent, scalable, and sustainable growth

- Annual revenue: **\$45M**
- Gross margin: **31%**

2. Create and scale new revenue channels

- TPT – Event Catering revenue: **\$4M**
- TPT – Self-Pay Lunch revenue: **\$2M**

3. Transform WeBox into an AI-Native Organization (3-year goal)

- 80% of software products implemented by AI agents
- 20% of task-based workflows powered by AI agents
- Launch the first version of **task-based (not role-based) workflows**

Let’s move forward together—driven, honest, and resilient.

Growth is very important to our company. As Eric Yuan once said:

Another subtle but important thing is when you continue growing your business, many issues are hidden and not problems;

but when you experience headwind, all these issues will suddenly appear and become serious.

Thank you for your continued support throughout this journey. I hope you find these updates helpful. As always, feel free to reach out at any time for a conversation.

Executive Summary

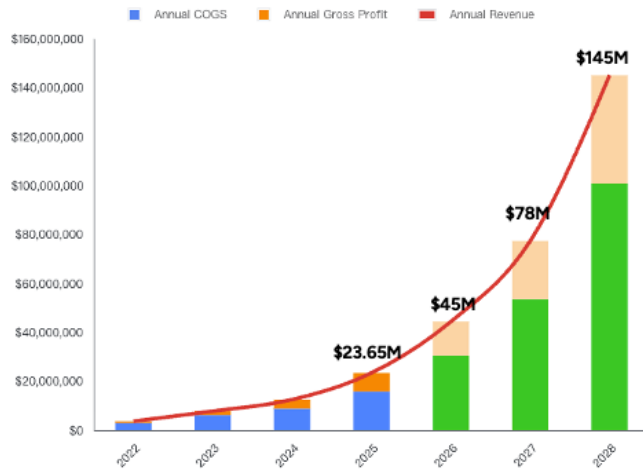
	≡ Performance	≡ Cash & Profitability
1	2025 Revenue: \$23.65M [<u>Forecast: \$24M</u>] +90% YoY from \$12.49M	2025 Net Profit: -\$658K [<u>Forecast: \$500K</u>] ↑ 8.4% YoY from -\$719K driven by expansion + legal + payroll investments
2	Q4 Revenue: \$6.60M [<u>Forecast: \$6.3M</u>] +68% YoY from \$3.92M -0.9% QoQ from \$6.66M	Q4 Net Profit: -\$246K [<u>Forecast: -\$80K</u>] ↑ 25.9% QoQ from -\$332K ↑ 13% YoY growth from -\$283K
3	2025 Gross Margin: 30.43% [<u>Forecast: 30%</u>] +3.39% YoY from 29.43%	
4	Q4 Gross Margin: 31.72% [<u>Forecast: 30.5%</u>] +11.5% YoY from 28.45% +11.4% QoQ from 28.47%	

Goals & Progress

	≡ Q1 Goal	≡ 2026 Goal
1	Revenue: \$7.9M — +19.69% QoQ	Revenue: \$45M — +90.27% YoY
2	Gross margin: 32% — +0.8% QoQ	Gross margin: 31.5% — +3.5% YoY
3	Net Profit: -\$50K — ↑80% QoQ	Net Profit: \$100K — ↑115% YoY

3 Years Outlook: Scaling Hub-and-Spoke Network

- We aim to scale revenue from \$24M to \$145M through hub expansion and product line growth
- Margin improvement comes from density, logistics efficiency, and higher-margin private label brands
- This creates a repeatable playbook to expand into new regions



New Business Lines: Validation & Growth

- **Event Catering**

Q4 Revenue: \$217,017

N/A YoY

+170% QoQ from \$80,303

- **WeBox Mart**

Q4 Revenue: \$377,077

+85.7% YoY from \$203,254

-3.8% QoQ from \$391,819

- **Office Pantry**

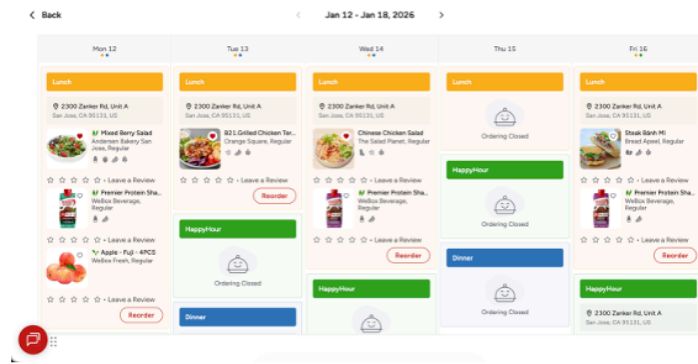
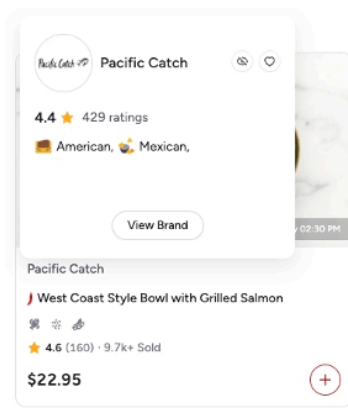
Q4 Revenue: \$31,149

N/A YoY

-15.2% QoQ from \$36,732

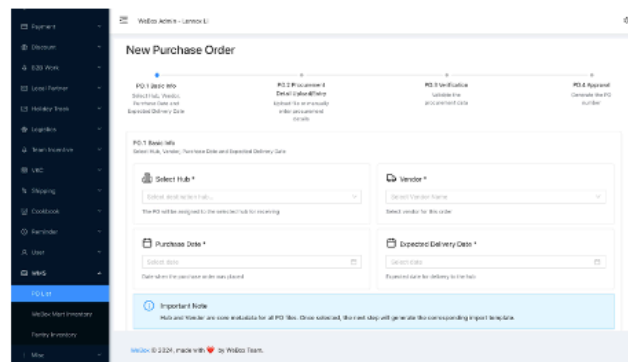
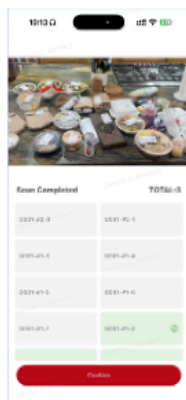
Product: User Experience on Marketplace

- Launched a brand-new UI with faster brand discovery, dish blocking, and improved personalization on the home page
- Introduced a new Meal Calendar, enabling users to manage upcoming orders, reordering, save favorites, and leave reviews in one place



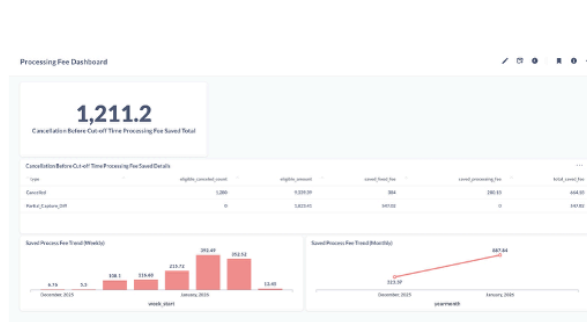
Product: Building Scalable Infrastructure

- Tax info collection to support finance team to deliver 1099 tax from promptly
- Launch order delivery verification steps for smaller companies with takeout orders
- Inventory Management for logistics and pantry teams, and adding expiration date tracking to enable automatic stock-out



Product: Sustainable Cost Reduction Support

- For Box Meal orders, personal payments will switch the "Instant Payment" API to authorization mode which will save over \$3000 quarterly
- WeBucks Top-Up feature launched which reaches 13.4K top-up amount and will save over \$967 credit card process fee from feature launched. It will help save \$3000 quarterly



Team & Hiring Plan

- Total Headcount: 99 (US 35 / CN 33 / PH 28)
- Key hires in progress: Manager of CS, Director of Engineering
- Q1 Focus: hire for revenue acceleration + new business lines expansion
- Q1 Focus: TPT works well, and new TPT function (AI workflow) will be kickoff

Quarterly Books Recommendation

- Thinking Fast and Slow

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